Vendor Selection and Evaluation Procedure

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Summary. Procedure for selecting and evaluating vendors at Northstar Systems, covering shortlisting, weighted scoring criteria, evaluator independence and conflict of interest, security and financial due diligence, negotiation, award, and ongoing annual performance reviews and offboarding of poor performers.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This procedure explains how Northstar Systems Private Limited ("Northstar") chooses vendors fairly and consistently, and how it keeps checking that selected vendors perform. It applies to every purchase that involves a choice between suppliers, whether run as a request for quotation (RFQ) or a formal request for proposal (RFP), and to the periodic evaluation of existing vendors. It is used by budget owners, managers, Procurement buyers, Finance, Security (GRC) and Legal.

The procedure works together with the Purchase Approval Policy (OPS-001), which sets approval limits and quotation thresholds, the Procurement Workflow (OPS-002), which gives the step sequence in NorthBuy, the Vendor Onboarding Procedure (OPS-004), the Third-Party Security Assessment Procedure (SEC-011) and the Code of Conduct (HR-008) for ethics. References to laws, tax or statutory registrations are illustrative and must be verified by Legal before external use.

2. Definitions

- **Evaluator:** a person appointed to score vendor responses.
- **Evaluation criteria:** the factors and weights used to score vendors, fixed before bids are opened.
- **Shortlist:** the vendors invited to respond to an RFQ or RFP.
- **Vendor risk tier:** Critical, High, Moderate or Low, set by data access and system criticality (see SEC-011).
- **Conflict of interest (COI):** a personal, financial or family interest that could affect, or appear to affect, a person's judgment on a vendor.
- **Vendor scorecard:** the periodic rating of a vendor's delivery, quality, service, compliance and commercial behaviour.
- **MSME:** a vendor registered as a micro, small or medium enterprise (illustrative; verification by Legal).

3. Roles and Responsibilities

Role	Responsibility
Requester and business sponsor	Defines requirements, nominates technical evaluators, accepts the final outcome
Procurement buyer	Runs the process, keeps the audit trail, negotiates commercials
Head of Procurement	Owns this procedure, resolves disputes, chairs the Procurement Committee
Finance Controller	Reviews financial standing and total cost of ownership
GRC (Security)	Performs security assessment for vendors with data or system access
Legal	Reviews contract terms and Data Processing Agreements
Procurement Committee	Reviews RFP outcomes and approves vendors above INR 3,00,000
CFO	Signs off on purchases above INR 25,00,000

4. When a Competitive Selection Is Required

Purchase value (INR)	Selection method
up to 25,000	One quotation; buyer checks the price is reasonable
25,001 to 3,00,000	Minimum three written quotations
above 3,00,000	Formal RFP through NorthBuy with Procurement Committee review
above 25,00,000	Procurement Committee review plus CFO sign-off

Purchases that fall in a higher band must follow the higher band's method. The value used is the contract year value, or the total contract value if that is higher for multi-year terms. A sole-source choice is allowed only with a written justification approved one level above the DoA approver (see OPS-001). Splitting a requirement to avoid a threshold is prohibited.

5. Shortlisting Vendors

1 The requester describes the need in a specification: scope, mandatory requirements, desirable features, volumes, locations, integrations, service levels and expected timeline.
2 The buyer builds a longlist from the existing NorthBuy vendor master, market research and requester recommendations. Vendors already onboarded are preferred where they fit, because onboarding takes up to 5 business days from a complete document set.
3 The shortlist should have at least three vendors for quotations and at least four for an RFP, to allow for non-responses. At least one shortlisted vendor should be a small or MSME-registered supplier where a qualified one exists.
4 Vendors that are on the internal blocked list, or have an unresolved integrity, security or performance issue with Northstar, must not be shortlisted without the approval of the Head of Procurement.
5 Shortlist reasons are recorded in NorthBuy.

6. Evaluation Criteria and Scoring

Criteria and weights must be fixed and recorded before any response is opened, and the same criteria must apply to all vendors. The default weights below are used unless the Head of Procurement approves different weights for a specific category, and the total must always be 100.

Criterion	Default weight
Fit to requirements (functional and technical)	30%
Total cost of ownership over the contract term	25%
Delivery capability and references	15%
Security, privacy and compliance posture	15%
Financial stability and company standing	10%
Service levels, support and exit terms	5%

Each criterion is scored from 1 to 5 by each evaluator, where 1 is unacceptable, 3 is meets the requirement and 5 is clearly exceeds it. The weighted score is the sum of score divided by 5, multiplied by weight. Mandatory requirements are pass or fail: a vendor that fails a mandatory requirement is disqualified regardless of score.

6.1 Total cost of ownership

Price comparison must use total cost over the contract term, not only the headline price. It includes licences or fees, implementation, training, integration, support, expected renewal uplift, travel, exit costs and any taxes that are not recoverable. Costs must be converted to INR using the exchange rate on the quotation date, and the buyer records the rate used.

Example: Vendor A quotes INR 9,00,000 per year with 5% annual uplift and INR 1,00,000 implementation. Vendor B quotes INR 8,40,000 per year with 12% uplift and INR 2,50,000 implementation. Over three years Vendor A costs INR 9,00,000 plus 9,45,000 plus 9,92,250 plus 1,00,000, which is INR 29,37,250. Vendor B costs INR 8,40,000 plus 9,40,800 plus 10,53,696 plus 2,50,000, which is INR 30,84,496. Vendor A is cheaper over the term even though Vendor B has a lower first-year price.

6.2 Security and privacy scoring

Where a vendor will access Confidential or Restricted data, or connect to Northstar systems, the security questionnaire is mandatory and the vendor must be risk-tiered under SEC-011. Critical and High tier vendors need an independent assurance report, such as a SOC 2 Type II report or ISO 27001 certificate (illustrative), before a PO is issued. GRC completes the assessment within 10 business days of receiving a complete questionnaire. A Critical or High vendor that does not pass the assessment cannot be awarded the contract unless the CISO's delegate approves a time-bound risk acceptance (maximum 90 days). A Data Processing Agreement must be signed before any personal data is shared.

6.3 Financial standing

For purchases above INR 3,00,000 or any multi-year commitment, Finance reviews at least two years of financial statements or a credit report, looks for adverse events, and flags dependency risk where the vendor's revenue from Northstar would be a large proportion of its business. A vendor with weak financial standing may still be selected if the risk is mitigated, for example by escrow, staged payments or a parent guarantee, and the mitigation is approved by the Finance Controller.

7. Evaluator Independence and Conflict of Interest

- At least three evaluators must score RFP responses, including one from outside the requesting team and one from Procurement. For RFQs, the buyer and the requester score jointly and a second person reviews the comparison.
- Each evaluator must sign a conflict-of-interest declaration for each selection. Anyone with a financial interest in, or a personal or family relationship with, a bidder must withdraw and tell the Head of Procurement.
- Evaluators score independently first. Only after individual scoring is submitted in NorthBuy may they meet to discuss differences, and any score changes must be recorded with reasons.
- Evaluators must not discuss the process with bidders outside the formal clarification channel, and must not accept gifts, hospitality or favours from bidders. Gifts and hospitality follow the Code of Conduct (HR-008).
- Information about one bidder must never be shared with another bidder.

Example: During an RFP for a managed network service, a Director on the evaluation panel discloses that her brother-in-law is a senior manager at one bidder. The Head of Procurement removes her from the panel, records the declaration and appoints a replacement evaluator from outside the Infrastructure team.

8. Clarifications, Demonstrations and Reference Checks

Clarification questions from vendors are answered in writing to all bidders. Shortlisted vendors for high-value purchases may be asked to give demonstrations or proof-of-concept on Northstar-provided scenarios, with no production data used. The buyer takes at least two reference checks for purchases above INR 3,00,000, ideally with customers of similar size, and records the findings. A vendor must not be allowed to change its price or scope after the closing date except during formal negotiation.

9. Negotiation

1 Negotiation is led by the Procurement buyer, with the requester and, where needed, Legal.
2 Negotiate only with the top-ranked vendor first. If agreement is not reached, the buyer may move to the next-ranked vendor.
3 Typical negotiation topics are price, payment terms, service levels, termination rights, liability caps, data protection terms, price-hold periods and renewal caps.
4 Standard payment terms are Net 45 days from invoice receipt, and Net 30 days for MSME-registered vendors (illustrative). Advance payments of up to 30% of PO value need CFO approval and are allowed only for onboarded vendors.
5 Contract terms must be reviewed by Legal for contracts above INR 5,00,000, any multi-year term, and any non-standard terms. Auto-renewal clauses need General Counsel approval.
6 The final negotiated offer is recorded in NorthBuy and becomes part of the approval request.

10. Recommendation and Award

The buyer prepares an award recommendation showing the scores, price comparison, risk findings, the negotiated outcome and reasons for the decision. If the highest-scoring vendor is not recommended, the reasons must be written and approved by the Head of Procurement.

Approvals follow the DoA table in OPS-001:

Amount (INR, per transaction/PO/contract year)	Approver
up to 10,000	Reporting manager (Band B4+)
10,001 to 50,000	Department head
50,001 to 2,00,000	Director (Band B6) and Finance Controller
2,00,001 to 10,00,000	CFO
above 10,00,000	CFO and CEO jointly

After approval, unsuccessful bidders are told the outcome within 5 business days. A short debrief may be offered on request, but scores and commercial details of other bidders must not be disclosed. The vendor must then be onboarded in the NorthBuy vendor master (OPS-004) before a PO is issued, with documents PAN, GSTIN, cancelled cheque or bank proof, NDA and conflict-of-interest declaration, plus the security questionnaire if the vendor accesses Confidential or Restricted data.

11. Ongoing Vendor Performance Evaluation

Selection does not end the evaluation. Vendors are scored on a scorecard so that renewals and future awards rest on evidence.

11.1 Scorecard dimensions

Dimension	Examples of what is measured
Delivery	On-time delivery, milestone adherence
Quality	Defects, rework, acceptance rejections
Service	Responsiveness, issue resolution, SLA compliance
Compliance and security	Audit findings, incidents, expired certificates, contract adherence
Commercial	Invoice accuracy, price discipline, disputes

Each dimension is rated 1 to 5 and averaged. A score of 4.0 or higher is Preferred, 3.0 to 3.9 is Acceptable, 2.0 to 2.9 is Watchlist and below 2.0 is Unsatisfactory.

11.2 Review frequency

- Critical-tier vendors: annual security reassessment (see SEC-011) and a quarterly business review.
- High-tier vendors: security reassessment every 2 years and a half-yearly review.
- Moderate and Low vendors: scorecard once a year by the buyer and requester.
- A scorecard is also completed at the close of any PO above INR 3,00,000.

The renewal alert for a contract is raised 90 days before expiry, and the scorecard must be reviewed before renewal is approved.

11.3 Watchlist and corrective action

A vendor on the Watchlist receives a written corrective action plan request. The vendor must respond within 10 business days and show improvement within 90 days. Unsatisfactory vendors are not given new POs without the Head of Procurement's approval and may be offboarded. Where a vendor causes a security or privacy incident, the CISO or Privacy Officer may require immediate suspension of access and POs.

12. Offboarding a Vendor

When a vendor relationship ends, the buyer must make sure that access to Northstar systems is removed, assets and data are returned or securely deleted with a certificate, final invoices are matched, open POs are closed, and the vendor record in NorthBuy is marked inactive. Vendor accounts that remain inactive for 60 days are disabled under the access policy.

13. Records

The buyer keeps in NorthBuy: requirements, shortlist and reasons, responses, scoring sheets, conflict declarations, clarifications, negotiation notes, award recommendation and approvals. These records support audit and must be kept for 8 years after contract expiry, in line with the retention schedule for customer and supplier contracts and financial records (see SEC-005 for retention rules). Unsuccessful bidder records may be deleted earlier if the bids contain personal data, with a destruction record.

14. Exceptions and Escalation

Exceptions to this procedure, such as changing default weights, shortlisting fewer vendors than required, or skipping a demonstration, need written approval from the Head of Procurement and, for values above INR 10,00,000, the CFO. Disagreements about scoring are escalated to the Head of Procurement and then the Procurement Committee. Suspected bid rigging, evaluator bias, bribes or undisclosed conflicts must be reported to the Head of Procurement, the General Counsel or the ethics hotline described in the Code of Conduct. Questions can be sent to the Procurement Desk at procurement@northstar-systems.example.

15. Worked Scenario

The Customer Success team needs a new customer survey platform for 3 years at about INR 14,00,000 in total (INR 4,66,000 per year). Because the contract year value is above INR 3,00,000, an RFP is required and Procurement Committee review applies. The CFO approves the award because the contract year value falls in the INR 2,00,001 to 10,00,000 band. Legal reviews the multi-year terms. Four vendors are shortlisted; three respond; one fails a mandatory requirement on data residency in India and is disqualified. The remaining two are scored by four evaluators using the default weights. Vendor X scores 4.2 and Vendor Y scores 3.8. Vendor X is a High-tier vendor because it will hold customer contact data, so GRC checks its SOC 2 Type II report and the Data Processing Agreement is signed. After negotiation lowers the price by 6%, the Committee approves Vendor X, unsuccessful bidders are told within 5 business days, onboarding is completed and the PO is issued. A year later the buyer and requester complete the first scorecard.

16. Frequently Asked Questions

Are the weights always the same? The default weights apply unless the Head of Procurement approves different ones before bids open.

Can the requester pick a vendor and skip quotes? Only through the sole-source route with a written justification approved one level above the normal approver.

What happens to a vendor that fails a mandatory requirement? It is disqualified, whatever its score.

How often are vendors reviewed? At least annually by scorecard, with security reassessment annually for Critical vendors and every 2 years for High vendors.

17. Related Documents

See OPS-001 for approval limits, OPS-002 for the procurement workflow, OPS-004 for onboarding, SEC-011 for third-party security assessment and HR-008 for ethics and conflict of interest.

18. Revision History

Version	Date	Change
3.2	2023-10-05	Introduced default weights table
3.3	2024-07-22	Added scorecard review frequency
3.4	2025-04-01	Added evaluator independence rules and watchlist steps